Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Koolking Industries India Limited

Mainboard · HVAC components (brass and copper tubes and fittings for air-conditioner indoor and outdoor units, refrigeration lines) · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 335 cr · price band: Not announced · analysed 2026-10-22

CALL

Screen only

BUSINESS STAGE

–

PAT grew from Rs 76.70 m to Rs 332.06 m over FY24-FY26 at a 28.39% ROCE, but FY26 revenue growth slowed to 9.0% and operating cash flow was Rs -430.08 m as inventory rose to 116 days, so the RHP's H1 FY27 cash flow and the price band decide the case.

Revenue FY26 **₹527 cr** CAGR FY24-FY26: **48.2%**	PAT FY26 **₹33 cr** CAGR FY24-FY26: **108.1%**	EBITDA margin **10.9%** FY24: **6.5%**	Cash conversion (CFO / PAT, 3 yrs) **-67.5%**
Cash tax rate (3 yrs) **25.4%**	P/E at reference (post-issue) **28.1x** peer median: **97.1x**	Adjusted P/E (earnings quality) **28.4x** reported: **28.1x**	Blended value (Neutral) **₹200.75** vs reference: **73.3%**

Reference price

₹115.82

Rs 115.82 = FY26 basic EPS of Rs 6.07 × 19.08, the lowest P/E in the DRHP's own peer table (Elin Electronics, p. 179). It is a reference to size the model, not a price band and not a view of the right price. The only priced transaction in the DRHP is the 29-Jan-2024 transfer among shareholders at Rs 34.66 per Rs 10 share, Rs 5.78 after the bonus and split (p. 190).

Report structure

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Moat and SWOT analysis

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Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Screen only

STAGE

Mainboard · DRHP

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Basis. Draft Red Herring Prospectus dated 23-Sep-2026, filed with SEBI on 01-Oct-2026: a 100% book-built fresh issue of up to ₹3,000 m plus an offer for sale of up to 3,050,000 shares by four selling shareholders, under Reg 6(1) of the ICDR. Keynote Financial Services Limited is sole BRLM. Restated

> financials run to 31-Mar-2026, **176 days before the DRHP date and 205 days old at the date of this note**; there is no H1 FY27 data, so no capital should be committed until the RHP is read. **No price band has been announced.** Holding period assumed: 2 to 3 years. Grey market premium is not used. The merchant-banker appendix is the only part that uses outside sources, each named and marked unverified.
>
> Upside is measured against **₹115.82**, FY26 basic EPS of ₹6.07 times 19.08, the lowest P/E in the DRHP's own peer table (p. 179). It is a reference to size the model, not a band and not a view of the right price. A DRHP is a screen, not a decision.

1. Business of the company

Koolking (Malerkotla, Punjab; incorporated 2008) makes brass and copper components for air-conditioner indoor and outdoor units and refrigeration lines: U-bends, evaporator inlet and outlet tubes and sockets, suction, condenser and discharge tubes, C-bends, flare and dead nuts and refrigeration lines. It carries 1,697 SKUs, runs five plants (Punjab, Uttar Pradesh, Rajasthan, Andhra Pradesh) and has 773 employees (pp. 174-175).

FY26 revenue of ₹5,267.45 m was indoor-unit components ₹2,208.20 m (41.9%), outdoor-unit components ₹2,111.67 m (40.1%), scrap sales ₹670.75 m (12.7%) and other lines ₹276.83 m (5.3%, our residual) (p. 442). Scrap is counted in revenue from operations and rose 51.1% in FY26. The DRHP does not describe pricing or metal pass-through terms; its MD&A says FY26 materials cost rose with copper and brass prices (p. 442). Gross margin was 28.91% in FY26 (25.34% FY25) (p. 182). Contract labour was 1,257 workers against 883 (p. 444); imports (South Korea, China, Thailand) are 53.07% of raw material purchases (pp. 21, 444).

Stage of the business: scaling. Revenue doubled in FY25 and grew 9.0% in FY26 while capacity grew 50% and working capital tripled; the issuer plans three new units at ₹1,530.00 m (p. 134). For valuation this means earnings are rising but cash is being reinvested, so the DCF carries more weight on the build than on today's profit.

2. Industry outlook

The industry data come from the CARE Industry Report, **commissioned and paid for by the company** (p. 20), so market-size and growth statements are issuer-sourced. CARE puts the addressable HVAC-component market at ₹34.8 bn in FY26 growing 24.46% a year to FY30, and Indian air-conditioner volume at 12.8 m units in FY27 rising to 16.7 m in FY30 (9.3% CAGR) (pp. 137, 174). On that market the company's ₹5,267 m is about 15%.

The structure is a supplier tier to a few air-conditioner makers (ODMs and OEMs). The listed names the issuer compares itself with are PG Electroplast, Amber Enterprises, KRN Heat Exchanger, Elin Electronics, Centum Electronics and EPack Durables (p. 179); Amber and KRN are also customers. Government localisation policy is cited as supporting domestic sourcing (p. 137). Demand is seasonal, cyclical with consumer durables, and exposed to copper and brass prices and to import duties.

3. Moat and SWOT analysis

- **Pre-qualification.** ODMs and OEMs approve suppliers by technical audit (108 audits by ten customers in three years); it protects the seat, not the price (pp. 174, 182).

- **Proximity.** Plants near customer hubs cut logistics cost and lead time (p. 175). Real but replicable; the new units extend it.
- **Scale and cost.** Capacity of 419.26 m units; a 28.91% gross margin and 10.89% EBITDA margin do not show a pricing premium.
- **Switching costs.** Repeat customers are 96.91% of revenue, but no contract tenor or volume commitment is disclosed.
- **Read.** A durable seat with a few large customers; limited evidence of pricing power or a structural cost advantage. The moat is moderate and rests on customer relationships.

STRENGTHS

- PAT Rs 76.70 m to Rs 332.06 m FY24-FY26; reported EBITDA margin 6.52% to 10.89% (p. 182)
- Supplies eight of the top ten Indian HVAC makers; 96.91% of FY26 revenue from repeat customers; 108 customer audits in three years (pp. 174-175, 182)
- Eligibility under Reg 6(1) reproduces: average operating profit Rs 366.37 m vs Rs 150 m (p. 475)
- Cash tax 25.4% of cumulative PBT (p. 86)
- Related-party trade small: purchases Rs 28.57 m, sales Rs 2.65 m in FY26 (p. 90)

WEAKNESSES

- Operating cash flow Rs -430.08 m in FY26; cumulative CFO/PAT -67.5% (p. 87)
- Top-10 customers 89.71%; Amber Enterprises 28.79% (p. 24)
- Top-10 suppliers 79.33%; Supplier 1 32.99%; 53.07% of raw material imported (pp. 21, 25)
- Debt/equity 1.63x; borrowings Rs 1,778.11 m at 31-Jul-2026 (pp. 58, 449)
- Auditor changed 20-Sep-2025; audit trail not enabled at database level through FY26 (pp. 59, 95)

OPPORTUNITIES

- Addressable HVAC-component market Rs 34.8 bn growing 24.46% a year to FY30, issuer-commissioned (p. 137)
- Three new units (Punjab, Andhra Pradesh, Rajasthan) and new lines in heat exchangers, sheet metal and service valves; land already acquired (pp. 137-138)
- Air-conditioner volume 12.8 m units in FY27 to 16.7 m in FY30 (9.3% CAGR) per CARE (p. 174)
- Installed capacity 279.86 m units (FY24) to 419.26 m units (FY26) (p. 182)

THREATS

- Customs show-cause notice of Rs 130.38 m, appeal pending at the Supreme Court (p. 461)
- Unhedged import exposure: Rs 74.96 m FX loss in FY26 (p. 444)
- Copper and brass price volatility; no long-term supply contracts described (pp. 25, 442)
- Amber and KRN are both large customers and named listed peers (pp. 24, 179)
- Government localisation policy and import-duty changes affect demand (p. 137)

4. Management analysis and governance

- **Promoters and management.** Sajiv Gopal (Chairperson and Whole-time Director), Malti Sood (Whole-time Director) and their son Varun Gopal (Managing Director and CEO) are the promoters and run the business; Sugandha Sood is a promoter-group member (pp. 343-346, 1). The board has six directors: the three promoters and three non-executive independent directors, Sameer Bhargava (38 years in

consumer durables and HVAC), Shweta Mohindra and Sanjay Mittal (banking), all appointed on 10-Jul-2026, ahead of the filing (pp. 344-345).

- **Pay.** The three promoters were paid ₹2.16 m, ₹1.90 m and ₹2.16 m in FY26, ₹6.22 m in all, 1.9% of PAT. Revised monthly pay from 21-Aug-2026 is ₹1,85,470 for Sajiv Gopal and Varun Gopal and ₹1,63,650 for Malti Sood (p. 346).
- **Shareholding and sellers.** Seven shareholders hold 54,729,240 shares of ₹5 each (after a 2:1 bonus on 1-Sep-2026 and a 1:2 split on 3-Sep-2026): promoters 87.84%, promoter group 12.16%, no public holders (pp. 101, 121). Three promoters sell 915,000 shares each and Sugandha Sood 305,000, each below half of the holder's stake, at weighted average costs of ₹1.81, ₹3.36, ₹3.17 and ₹2.30 per share (p. 1). The OFS is 10.5% of the offer at the reference price.
- **Related parties.** Purchases from KPM India / KPM International ₹28.57 m and sales ₹2.65 m in FY26; ₹4.99 m of freehold land bought from Koolking Foundation (a trust chaired by Sajiv Gopal); unsecured promoter and relative loans of ₹157.25 m at 31-Jul-2026 (8.84% of borrowings) with interest of ₹13.97 m in FY26 (pp. 37, 90-92, 346).
- **Litigation.** The material matter is the customs show-cause notice of 22-Apr-2025 on ASEAN-India FTA duty exemption (₹130.38 m): the High Court dismissed the writ on 28-Apr-2026 and a special leave petition filed 29-May-2026 is pending (p. 461). No criminal or regulatory action against the promoters or directors is shown in the litigation summary (p. 51).
- **Auditor and banking.** Raj Kumar Jindal & Co resigned on 20-Sep-2025 (reason given: preoccupation with other professional arrangements) after reappointment on 30-Sep-2024; SCV & Co. LLP was appointed on 30-Sep-2025 and audited FY26. FY25 and FY24 are special-purpose financial statements. The audit trail was enabled at application level but not at database level throughout FY26, and the title of Plot UDL-7 (₹32.22 m) is not yet in the company's name (pp. 59, 95).
- **Governance read.** A family-run company with a modest pay scale and small related-party dealings, an independent board seated just before filing, and an auditor change and audit-trail point that the RHP should close. Nothing in the DRHP rises to a governance issue that would change the investment case; the items above are for monitoring.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

₹ m	FY24	FY25	FY26
Revenue from operations	2,399.38	4,831.42	5,267.45
Growth	n.a.	+101.4%	+9.0%
Reported EBITDA	156.35	458.91	573.88
EBITDA margin	6.52%	9.50%	10.89%
PAT	76.70	271.37	332.06
PAT margin	3.20%	5.62%	6.30%
Operating cash flow	37.40	-66.47	-430.08
Total equity	334.79	608.26	941.17
Borrowings (excl. leases)	372.80	658.75	1,532.11
Inventory	306.98	682.34	1,700.24
Trade receivables	601.16	712.82	1,061.51

(pp. 85-87, 182, 449.) The restated statements reproduce: FY26 expenses of ₹4,851.28 m deducted from total income of ₹5,293.76 m give PBT of ₹442.48 m, and tax of ₹110.42 m leaves PAT of ₹332.06 m; total assets equal total equity and liabilities in every year.

- **Cash and working capital.** Cash profit before working capital was ₹633.64 m in FY26, so the gap is in working capital, not in earnings: inventory absorbed ₹1,017.90 m, receivables ₹344.94 m, offset by payables ₹596.42 m (p. 87). Issuer-defined working capital was 10.1%, 15.2% and 31.0% of revenue; inventory days 51, 50 and 116; receivable days 86, 50 and 61 (pp. 166-167). Receivables are fresh: 99.45% is within six months of due date against a loss allowance of ₹7.91 m (p. 384).
- **Debt and cover.** Net debt is ₹1,442.34 m (borrowings and leases ₹1,548.82 m less cash ₹106.48 m), 2.5x FY26 EBITDA; interest cover on EBIT is 4.54x; borrowings were ₹1,778.11 m at 31-Jul-2026 (pp. 85, 449).
- **Returns.** ROCE 28.39% and ROE 42.86% in FY26 as reported (p. 182). On equity after the ₹3,000 m fresh issue, FY26 PAT would give at most 8.4%.
- **At the ₹115.82 reference** (pre-issue 54.73 m shares): market cap ₹6,339 m, P/E 19.08x on FY26 EPS of ₹6.07, P/B 6.7x on NAV of ₹17.20, EV/EBITDA about 13.6x (our arithmetic: market cap plus net debt over reported EBITDA).

Is the reported P/E right? Earnings quality at Rs 115.82

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -0.9%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 41.2x reported and 41.4x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	33.21	4.12	**28.1x**
FY26 after: ECL write-back	32.91	4.08	**28.4x**
FY24-FY26 average, reported	22.67	2.81	**41.2x**
FY24-FY26 average, adjusted	22.57	2.8	**41.4x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Expected credit loss on trade receivables written back to other income Rs 3.89 m of earlier loss allowance was released into other income in FY26; the charge was Rs 6.55 m in FY25 and Rs 2.38 m in FY24. A release does not recur at that size; 0.9% of FY26 PBT.	0	0	-0.39	! Yes	Medium	28.4x	p. 394 (Note 27)
Government grant credited to other income Grants of Rs 9.33 m (FY26), Rs 0.72 m (FY25) and Rs 2.09 m (FY24) depend on state incentive schemes and the plants that earn them; 2.1% of FY26 PBT. Shown for information, not removed.	-0.21	-0.07	-0.93	No (information)	Low	28.7x	p. 394 (Note 27); Note 46

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Unrealised foreign-exchange (gain)/loss on imports, non-cash A non-cash loss of Rs 44.24 m is added back in FY26 and gains of Rs 6.50 m (FY25) and Rs 3.30 m (FY24) are deducted. With 53.07% of raw material imported and unhedged, exchange movements recur, so the item is not adjusted; if the FY26 loss reverses, it raises earnings (the test is two-sided).	-0.33	-0.65	4.42	No (information)	Low	25.6x	pp. 87, 444

Also checked, no adjustment needed

✔ Pass Borrowing cost capitalised: nil in FY24, FY25 and FY26 (notes to PPE, CWIP and intangibles)

✔ Pass Allowance for expected credit loss Rs 7.91 m against gross receivables of Rs 1,069.42 m at 31-Mar-2026 (0.7%); 99.45% of receivables are within six months of due date

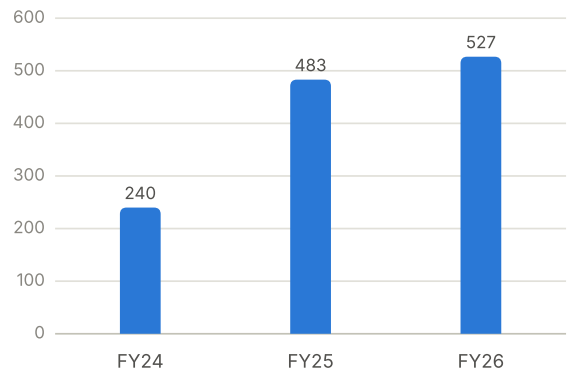
✔ Pass Current tax is 25.4% of cumulative PBT against the 25.17% statutory rate; no tax-rate flattering

✔ Pass Promoter and KMP pay Rs 8.48 m in FY26 is at market scale and fully charged; revised pay from 21-Aug-2026 is Rs 1.63 to 1.85 lakh a month each (p. 346)

✔ Pass No revaluation reserve, no goodwill, no capitalised development cost; intangible assets are Rs 0.67 m

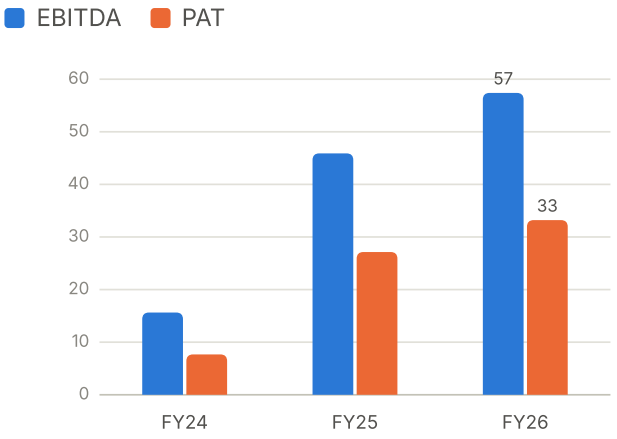
Revenue from operations

Rs crore



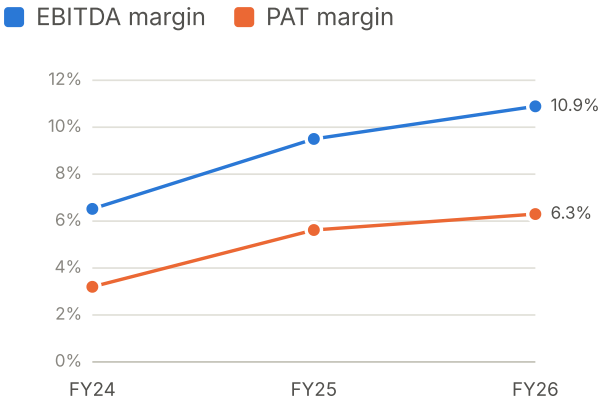
EBITDA and PAT

Rs crore



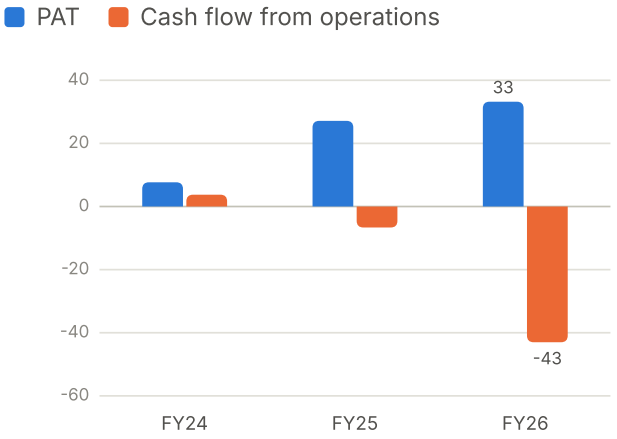
Margins

% of revenue



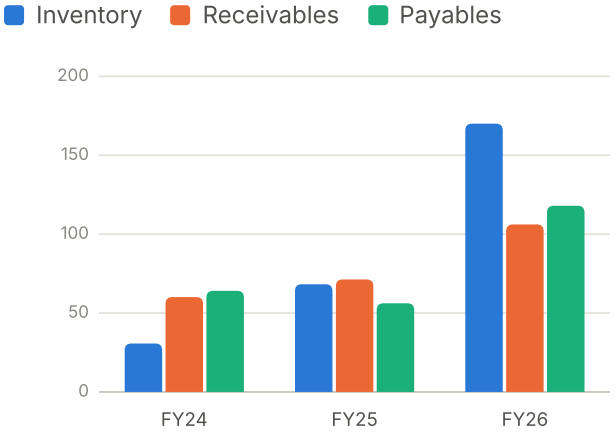
Profit and operating cash flow

Rs crore



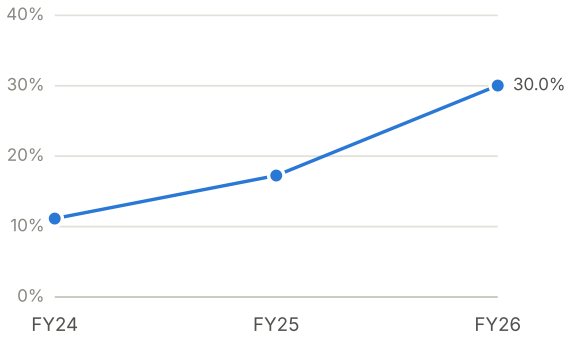
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

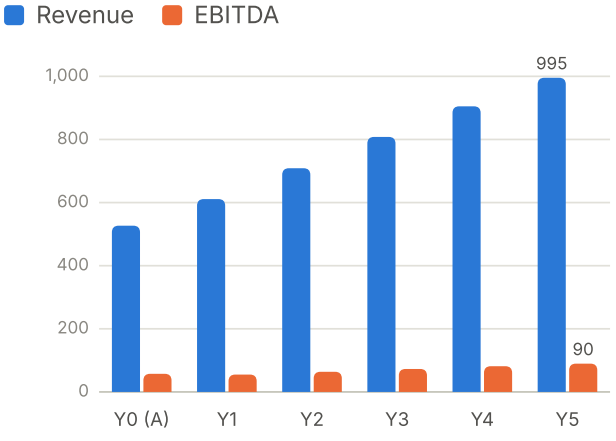
- **Plan.** Three new units (Malerkotla, Sricity in Andhra Pradesh, Ghiloth in Rajasthan) cost ₹1,530.00 m per a detailed project report prepared for the issuer, plus ₹145.27 m of machinery at existing plants. Land is bought (₹5.25 m + ₹5.41 m, ₹60.85 m and ₹174.37 m) and not funded from proceeds. **Orders for plant and machinery are yet to be placed**; spend falls in FY28 (₹1,138.82 m) and FY29 (₹391.18 m) (pp. 134, 138, 161). The DRHP gives no added capacity in units and no revenue forecast.
- **Working capital plan.** The issuer takes receivables to ₹2,200 m by FY29 (2.07x FY26, about 27% a year) with bank borrowing held at ₹1,135 m and inventory days falling to 98 (pp. 166-168).
- **Contracted vs. to be won.** Nothing is contracted in the DRHP beyond existing customer relationships; no order book is given.

Case	Revenue growth Y1-Y5	EBITDA margin	Working capital % revenue	Terminal ROIC	What has to go right
Bear	5%, 5%, 5%, 4%, 4%	7.5%	31%	12%	No IPO-funded units; flat demand from top customers; FY26 working capital intensity persists
Neutral	16%, 16%, 14%, 12%, 10%	9.0% (three-year average)	20% (through-cycle)	17%	New units deliver about 60% of the issuer's plan
Bull	27%, 24%, 20%, 15%, 11%	11.5%	14%	22%	The issuer's plan, with inventory at 98 days and FX loss not recurring

(Rationale and page cites for each driver are in the valuation workbook.) Neutral uses the three-year average margin and working-capital intensity rather than the FY26 extremes.

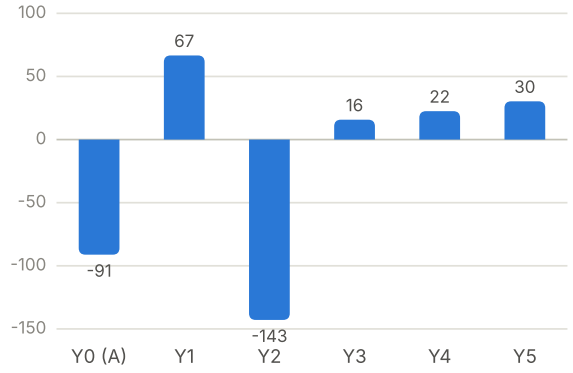
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore



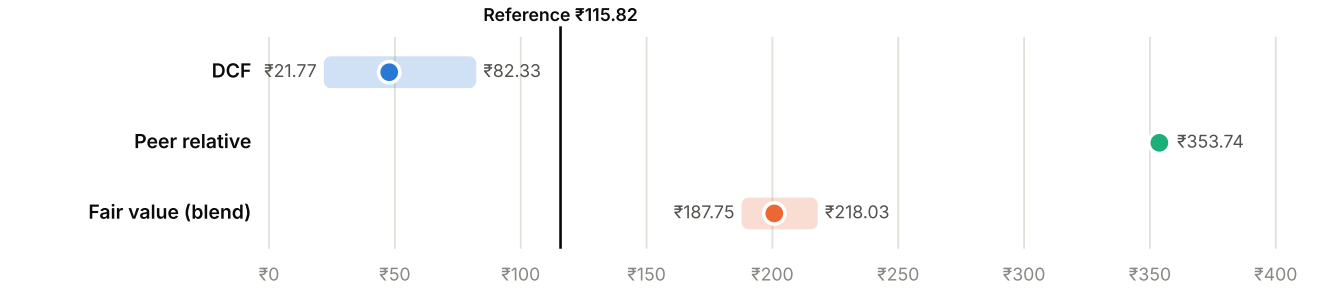
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Rs 115.82 = FY26 basic EPS of Rs 6.07 × 19.08, the lowest P/E in the DRHP's own peer table (Elin Electronics, p. 179). It is a reference to size the model, not a price band and not a view of the right price. The only priced transaction in the

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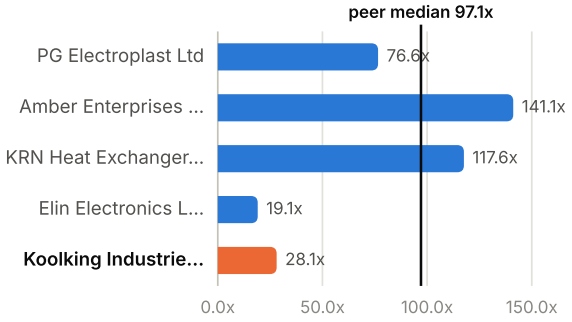
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



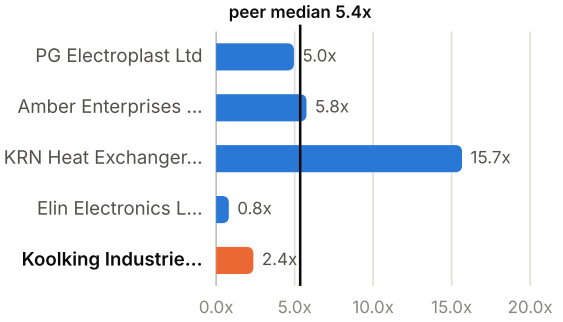
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹21.77	₹353.74	**₹187.75**	62.1%
Neutral	₹47.76	₹353.74	**₹200.75**	73.3%
Bull	₹82.33	₹353.74	**₹218.03**	88.3%

WACC **14.5%**

Terminal value share of EV **105.2%**

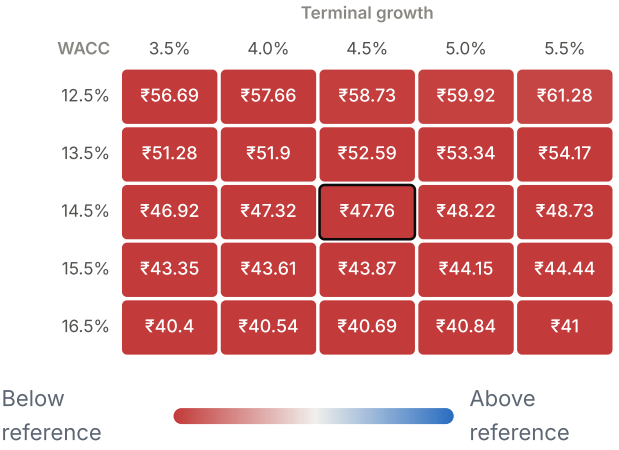
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.5%
required EBIT margin (steady state)	25.6%	10.1%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	31.0%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

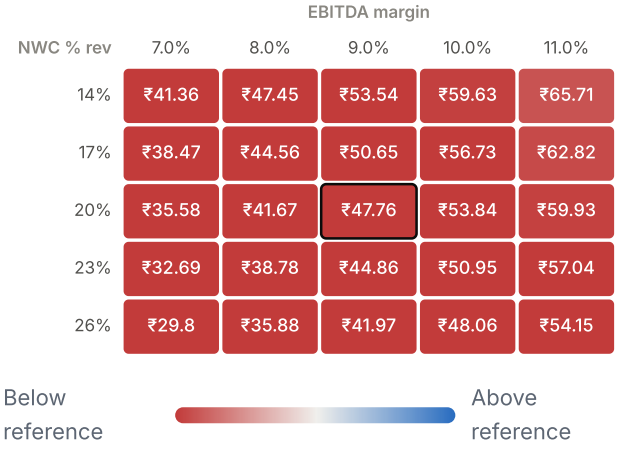
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer table (issuer at the ₹115.82 reference; peers as given in the DRHP, per-share data, p. 179):

Company	EPS ₹	NAV/share ₹	P/E	P/B
PG Electroplast	6.91	106.83	76.6x	5.0x
Amber Enterprises	50.48	1,238.60	141.2x	5.8x

Company	EPS ₹	NAV/share ₹	P/E	P/B
KRN Heat Exchanger	12.30	92.35	117.6x	15.7x
Elin Electronics	4.64	109.79	19.1x	0.8x
Median (four peers)			**97.1x**	**5.4x**
Koolking at ₹115.82 (pre-issue shares; 28.1x on post-issue shares)	6.07	17.20	19.1x	6.7x

EPack Durables (P/E 526x on EPS of ₹0.34) and Centum Electronics (loss-making) are excluded as not meaningful. None of the peers is a component supplier of the same size; Amber and KRN are also customers. The DRHP gives no peer net debt or EBITDA, so EV/EBITDA is not computed and the relative value uses P/E and P/B, re-weighted. The blend is **50:50 DCF to relative**; there is no company-specific premium and no discount to the peer median.

DCF inputs. WACC 14.46% (risk-free 6.5%, beta 1.1, equity premium 7.0%, size premium 2.0%, cost of equity 16.2%; cost of debt 10.0%; 20% debt weight); terminal growth 4.50%. FY26 base: revenue ₹526.7 cr, EBITDA ₹57.4 cr, net debt ₹144.2 cr, working capital ₹163.2 cr. Neutral free cash flow is ₹66.6 cr, ₹-142.9 cr (the ₹153 cr of IPO-funded units), ₹15.7 cr, ₹22.5 cr and ₹30.3 cr over five years; enterprise value is ₹229.3 cr and equity ₹385.1 cr on 80.6 m post-issue shares, after crediting the ₹300 cr of proceeds.

₹ per share	Bear	Neutral	Bull
DCF	21.77	47.76	82.33
Relative (post-issue)	353.74	353.74	353.74
Blended (50:50)	187.75	200.75	218.03
Blended vs ₹115.82	+62.1%	+73.3%	+88.3%
DCF alone vs ₹115.82	-81.2%	-58.8%	-28.9%

Why DCF and relative differ (-87%). The relative method applies a median P/E of 97.1x and P/B of 5.4x, set by large listed ODMs, to a ₹332 m profit; the DCF prices the cash a 9% EBITDA-margin business with 20% working-capital intensity can release while it spends ₹1,530 m on new units. The peers trade at 4 to 7 times the 19.1x implied by the reference, and the only priced transaction in the DRHP, the 29-Jan-2024 transfer at ₹5.78 per share after the bonus and split, is not a guide to today's price (p. 190). **The relative value is not reliable here** and the Fund does not rest a view on it: it measures what listed peers fetch, not what a smaller component supplier would. The DCF does not rest on peer pricing at all, but is weighed down by the Year-2 capex with no separate revenue credit beyond the growth path, so it is a conservative reading. The price band will show where the offer sits between them.

Reverse DCF. Current free cash flow is negative, so no multiple of it can be stated: the price assumes cash generation improves from here. Holding the Neutral growth path, the ₹115.82 reference (implied EV ₹778 cr) needs a steady-state EBIT margin of 25.6% against 10.1% in FY26, and is unreachable through working capital alone (it would have to turn negative). A lower price, or evidence of a higher through-cycle margin, would change this.

Objects floor. None: the fresh issue is amount-based. Specific objects total ₹2,130.00 m (71.0% of ₹3,000 m); offer expenses and general corporate purposes (capped at 25% of gross proceeds, ₹750 m) take the balance of ₹870.00 m (pp. 133-134).

Guards. The Neutral DCF shows terminal value at 105% of enterprise value because explicit-period free cash flow is negative in total (Year-2 capex); the Bull case sits at 95%. We show the figure and do not rely on it. We

did not change assumptions to pass the guard: the issuer's own plan holds working capital near 29% of revenue. WACC less terminal growth is 10.0% and terminal ROIC (17%) is above WACC. Divergence between the methods is explained above.

8. Areas to watch and growth drivers

Growth drivers to track: air-conditioner volume (CARE: 9.3% CAGR to FY30); the ramp of the three new units and the new heat-exchanger, sheet-metal and service-valve lines; capacity utilisation on 419.26 m units.

Points to monitor (normal-course items, each reported once):

- *Cash conversion.* Operating cash flow ₹-459.15 m cumulative against PAT of ₹680.13 m; inventory ₹1,700.24 m (116 days) at 31-Mar-2026 (pp. 87, 167).
- *Customers.* Top 10 are 89.71%, 89.36% and 88.38% (FY26, FY25, FY24); Amber 28.79% and also named as a supplier, with no purchase amount given (pp. 24-26).
- *Suppliers and imports.* Top-10 suppliers 79.33%; Supplier 1 32.99% (22.74% FY25); purchases by purchase order, no long-term contracts; imports 53.07% (pp. 25, 430).
- *Foreign exchange.* ₹74.96 m loss in other expenses in FY26 (16.9% of PBT) plus ₹9.09 m in finance cost; no hedging policy described (pp. 32, 444).
- *Customs matter.* ₹130.38 m show-cause notice; contingent liabilities ₹133.46 m, 14.2% of net worth, not provided (pp. 55, 89, 461).
- *Debt.* ₹1,778.11 m at 31-Jul-2026 including ₹157.25 m of promoter loans; short-term debt ₹1,206.05 m (pp. 37, 449).
- *Auditor and audit trail.* Auditor change on 20-Sep-2025; audit trail not at database level; Plot UDL-7 title pending (pp. 59, 95).
- *Peer set.* The DRHP's peers carry P/Es from 19.08x to 526x (average 176.08x); none is a like-for-like component supplier (p. 179).
- *Revenue includes scrap.* ₹670.75 m of scrap sales (12.7%) is in revenue from operations; FY25 included ₹221.57 m of high-sea sales (p. 394).

What would change our view (measurable, from the RHP and H1 FY27 results):

1. Operating cash flow above 50% of PAT for H1 FY27 and inventory days below 100.
2. The customs matter resolved, or the exposure (duty, interest, penalty) quantified under 10% of net worth.
3. Purchases from Amber disclosed with terms, Supplier 1 identified, and the top-10 customer share below 85%.
4. Orders placed for at least half of the ₹1,384.73 m of new-unit machinery, with added capacity in units and the revenue forecast behind the working-capital plan.
5. A hedging policy disclosed and the FX loss in H1 FY27 below 5% of PBT.
6. A price band relative to the ₹115.82 reference: a band at or below it, with the same financials, narrows the gap to the DCF value; one above it widens it.

9. Conclusion

CALL

Screen only

STAGE

Mainboard · DRHP

PAT grew from Rs 76.70 m to Rs 332.06 m over FY24-FY26 at a 28.39% ROCE, but FY26 revenue growth slowed to 9.0% and operating cash flow was Rs -430.08 m as inventory rose to 116 days, so the RHP's H1 FY27 cash flow and the price band decide the case.

Screen only. There is no price band, and the DRHP is a screen. The call rule (hard rule 6) needs a price, so no limb is applied. The evidence is balanced: a business that quadrupled PAT in two years at a 28% ROCE, serves most of the large Indian HVAC makers and is eligible on profit, set against negative operating cash flow as working capital tripled, 90% customer concentration, 2.5x net debt to EBITDA and a ₹1,530 m expansion not yet ordered.

At the ₹115.82 reference the Neutral DCF value is ₹47.76 (-59%), the Bull DCF ₹82.33 (-29%), and the peer-multiple value ₹353.74, which we do not rely on. The blended Neutral value is ₹200.75 (+73%), and the blend comes entirely from peer P/Es of 4 to 7 times the reference. **The fair value range on the cash-flow method is ₹22 to ₹82 with ₹48 as the Neutral point; on the market's pricing of listed peers it is far higher.**

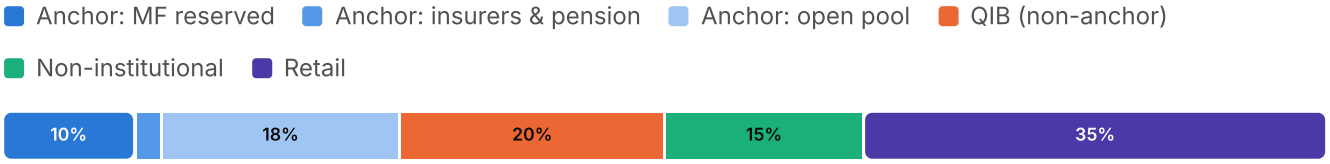
Two things decide the case: whether H1 FY27 shows inventory and receivables converting to cash as growth continues, and where the band sits against the 19.1x the reference implies. No capital should be committed until the RHP is read.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 335 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital at the Rs 115.82 reference)	161.3	1095
Promoter holding above the minimum contribution, after the OFS	292	365
Pre-issue holders other than promoters (promoter group, after OFS by Sugandha Sood)	63.5	180

Lead manager: Keynote Financial Services Limited

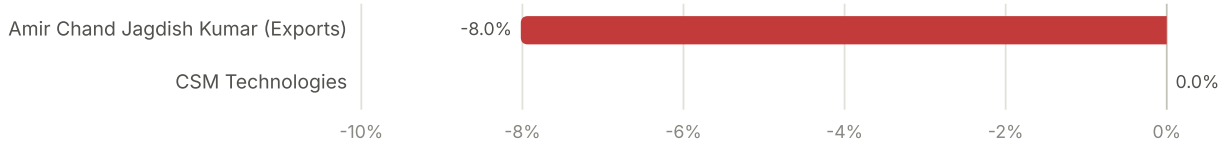
Listed: –

Owner: –

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	2:1 bonus (record date 21-Aug-2026, allotted 1-Sep-2026) and 1:2 split (3-Sep-2026) are applied retrospectively: EPS 6.07 / 4.96 / 1.43 and NAV 17.20 are on 54,729,240 shares. The balance sheet still shows share capital of Rs 91.22 m (pre-bonus count of 9,121,540 shares of Rs 10), which is a presentation point only.	pp. 176-178
2	Cash flow vs profit	! Watch	Operating cash flow +37.40 / -66.47 / -430.08 Rs m (FY24 / FY25 / FY26) against PAT 76.70 / 271.37 / 332.06; cumulative CFO/PAT -67.5% (-459.15 / 680.13). Operating profit before working capital was positive each year (633.64 in FY26); working capital absorbed Rs 962.71 m in FY26 (inventory Rs 1,017.90 m, receivables Rs 344.94 m, offset by payables Rs 596.42 m). FY26 CFO is also after Rs 74.96 m of foreign-exchange loss in other expenses and Rs 44.24 m of unrealised loss added back. Business reason given: working capital was built for growth and higher metal prices (inventory days 116 vs 50); not yet a full cycle, so WATCH until H1 FY27.	p. 87
3	Current vs deferred tax	✔ Pass	Current tax Rs 107.51 m of a Rs 110.42 m FY26 charge; cumulative current tax is 25.4% of cumulative PBT (236.94 / 933.13 Rs m) against a 25.17% statutory rate. Tax actually paid was Rs 155.57 m over three years, so Rs 92.03 m sits as current tax payable at 31-Mar-2026 (Rs 16.98 m at FY24).	pp. 86-87
4	Related-party capex & subsidiaries	! Watch	Related-party trade is small: purchases from KPM India / KPM International Rs 28.57 m (0.54% of FY26 revenue), sales Rs 2.65 m. Freehold land of Rs 4.99 m was bought from Koolking Foundation (a KMP-influenced entity) in FY26. Promoters lend to the company: unsecured loans of Rs 157.25 m were outstanding at 31-Jul-2026 (8.84% of borrowings, p. 37), and interest paid to promoters, relatives and their HUFs was Rs 13.97 m in FY26. Proceeds go to the company's own plants, not to a subsidiary.	pp. 90-92, 407
5	Objects arithmetic as price floor	– N.A.	Amount-based issue (Rs 3,000 m) with no fixed share count, so no price floor can be set. Specific objects total Rs 2,130.00 m (71.0% of gross proceeds): new units Rs 1,384.73 m, existing-plant machinery Rs 145.27 m, working capital Rs 600.00 m. The balance of Rs 870.00 m must cover offer expenses and general corporate purposes, with GCP capped at 25% of gross proceeds (Rs 750 m); at that cap, offer expenses would be at least Rs 120.00 m.	pp. 133-134
6	Revaluation reserve	✔ Pass	No revaluation reserve in other equity.	pp. 85-86
7	Goodwill vs tangible equity	✔ Pass	No goodwill; other intangible assets Rs 0.67 m.	p. 85

#	CHECK	RESULT	FINDING	PAGE
8	Customer / supplier / geographic concentration	! Watch	Demand side: top-10 customers 89.71% / 89.36% / 88.38% of revenue (FY26 / FY25 / FY24); Amber Enterprises India 28.79%; top-5 customers 75.36%. Supply side: top-10 suppliers 79.33% of expenses; Supplier 1 is 32.99% (22.74% in FY25). Amber Enterprises, the largest customer, is also named among the major suppliers (p. 26); the DRHP does not say how much is bought from it. 53.07% of raw materials are imported (South Korea, China, Thailand). The DRHP states there are no long-term contracts with the top-10 suppliers and purchases are by individual purchase order (p. 430). Concentration of this kind is typical of a tier-2 supplier to a few AC makers; reported as a point to monitor.	pp. 24-26, 404, 430
9	Contingent liabilities	! Watch	Contingent liabilities Rs 133.46 m = 14.2% of net worth (Rs 941.17 m) and 30.2% of FY26 PBT; Rs 130.38 m is a customs show-cause notice (22-Apr-2025) on ASEAN-India FTA duty exemption. The High Court dismissed the writ on 28-Apr-2026; a special leave petition (29-May-2026) is pending at the Supreme Court. Not provided for.	pp. 55, 89, 461
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	Statutory auditor Raj Kumar Jindal & Co resigned 20-Sep-2025 (stated reason: preoccupation with other professional arrangements) after re-appointment on 30-Sep-2024; SCV & Co. LLP was appointed 30-Sep-2025 to fill the vacancy and audited FY26. FY25 and FY24 are special-purpose financial statements. Auditors' reports carry observations on audit trail and on title deeds (p. 59).	pp. 59, 95
R2	CARO / audit trail	! Watch	CARO / Rule 11(g): audit trail was partly enabled at application level and not at database level throughout FY26. Title deeds of Plot UDL-7 (Gross value Rs 32.22 m, Andhra Pradesh) are not yet in the company's name (held since March 2025; sale deed pending).	p. 59
R3	Monitoring agency	✔ Pass	Monitoring agency to be appointed (issue above Rs 1,000 m). No debt-repayment object. Land for the three new units is already owned and is not funded from proceeds.	pp. 133-134
R4	Eligibility re-computation	✔ Pass	Reg 6(1) re-performed: operating profit 533.77 / 429.41 / 135.94 Rs m reproduces from PBT plus finance cost less other income (442.48 + 117.60 - 26.31 = 533.77); three-year average Rs 366.37 m against the Rs 150 m test; net tangible assets Rs 940.50 / 607.46 / 333.72 m; monetary assets 13.76% / 16.28% / 17.33% of NTA; net worth above Rs 10 m each year. KPI EBITDA Rs 573.88 m reproduces from the P&L.	p. 475
R5	SME conditions	✔ Pass	OFS of 3,050,000 shares by four selling shareholders (915,000 each from three promoters; 305,000 from a promoter-group member), each below half of its holding. At the Rs 115.82 reference the OFS is Rs 353.3 m, 10.5% of a Rs 3353.3 m offer (under the 20% ceiling). Re-test at the RHP price.	p. 1

#	CHECK	RESULT	FINDING	PAGE
R6	Lead-manager track record	! Watch	Keynote Financial Services is BRLM. This DRHP lists two IPOs handled in FY27: Amir Chand Jagdish Kumar (Exports), -23.53% at day 30 and -15.98% at day 90; CSM Technologies, -2.75% at day 30. Neither has a 180-day reading. Both are recorded in data/merchant_bankers.json.	pp. 481-482
R7	Firm means of finance	– N.A.	Total project cost of the three new units is Rs 1,530.00 m per the DPR, funded from net proceeds; orders for plant and machinery are yet to be placed (pp. 133-143). Any separate means-of-finance tie-up is not described.	pp. 133-136

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

Item	Detail
Offer	Fresh issue up to ₹3,000 m plus OFS of 3,050,000 shares; optional pre-IPO placement up to ₹600 m (20% of the fresh issue), which would reduce the fresh issue (cover page)
Size at reference	₹335.33 cr (₹300 cr fresh + ₹35.33 cr OFS)
Eligibility	Reg 6(1); average operating profit ₹366.37 m against ₹150 m (p. 475)
Objects	New units ₹1,384.73 m; machinery at existing plants ₹145.27 m; working capital ₹600.00 m; expenses and GCP the balance (pp. 133-134)
Anchor	Discretionary; locked in 50% for 30 days and 50% for 90 days, so not saleable on listing day
Promoter lock-ins	Minimum contribution (about 161.3 lakh shares at the reference) three years; holding above it (about 292.0 lakh) one year; other pre-issue holders (about 63.5 lakh) six months (p. 121)
Float at listing	About 289.5 lakh shares (fresh 259.0 + OFS 30.5); the six-month release is 22% of float and the one-year release is about its size

Appendix B: Merchant bankers

Keynote Financial Services Limited is the sole BRLM. It is listed (BSE 512597, NSE KEYFINSERV); its promoter holding is not sourced in this run and should be checked on the latest shareholding filing (unverified). The DRHP lists two IPOs in FY27 to date, ₹5,858 m in total, and none in FY25 or FY26 (pp. 481-482). The same lead manager acts for Jagatjit Agri Engineering Limited.

Issue	Size ₹ m	Issue price ₹	Listed	Open ₹	Day 30	Day 90	Day 180
Amir Chand Jagdish Kumar (Exports)	4,400	212.00	02-Apr-2026	195.00 (-8.0%)	-23.53%	-15.98%	n.a.
CSM Technologies	1,458	113.00	02-Jul-2026	113.00 (0.0%)	-2.75%	n.a.	n.a.

(p. 481; changes against issue price.) Current prices and issuer financials for these two issuers are held in `data/merchant_bankers.json`; entries not sourced from an exchange filing are marked unverified there. **Read.** Two issues are too few to say anything firm about pricing; both traded below issue price at day 30, and the first was still 15.98% below at day 90.

Appendix C: Diligence checks

#	Check	Status	Finding (page)
1	Bonus before filing	PASS	2:1 bonus and 1:2 split applied in EPS and NAV (pp. 176-178)
2	Cash flow vs profit	WATCH	Cumulative CFO/PAT -67.5%; working capital build for growth and metal prices; one more period needed (p. 87)
3	Current vs deferred tax	PASS	Current tax 25.4% of cumulative PBT (p. 86)
4	Related-party capex	WATCH	₹4.99 m land from a promoter-linked trust; promoter loans ₹157.25 m (pp. 37, 90)
5	Objects as price floor	N.A.	Amount-based issue (pp. 133-134)
6	Revaluation reserve	PASS	None (pp. 85-86)
7	Goodwill	PASS	None (p. 85)
8	Concentration	WATCH	Top-10 customers 89.71%; Supplier 1 32.99%; typical of the tier (pp. 24-26)
9	Contingent liabilities	WATCH	₹133.46 m, 14.2% of net worth; customs ₹130.38 m (pp. 89, 461)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	WATCH	Resignation 20-Sep-2025 (pp. 59, 95)
R2	Audit trail	WATCH	Not at database level; title deed pending (p. 59)
R3	Monitoring agency	PASS	To be appointed; no debt-repayment object (pp. 133-134)
R4	Eligibility	PASS	Average operating profit ₹366.37 m reproduces (p. 475)
R5	OFS limits	PASS	Each seller below half of holding
R6	BRLM record	WATCH	Two IPOs, both below issue price at day 30 (p. 481)
R7	Means of finance	N.A.	Orders yet to be placed (pp. 133-143)

No check is a material issue under hard rule 6.

Appendix D: Data gaps and verification

Gap	Severity
Price band, offer expenses, GCP amount, post-issue share count	High
H1 FY27 financials; audited record ends 31-Mar-2026	High
Customs show-cause notice: exposure and Supreme Court status	High
Purchases from Amber Enterprises; identity of Supplier 1; arm's-length terms	High
Orders for new-unit plant and machinery; added capacity and revenue forecast	Medium
Hedging policy and open FX exposure	Medium
Copper and brass pass-through terms; sales volumes by product	Medium
Peer set not comparable (P/E 19x to 526x)	Medium
Scrap sales of ₹670.75 m: metal content and pricing basis	Medium
Current price and 3-year financials of Keynote's two IPOs; Keynote's owner	Medium
Sale deed for Plot UDL-7 (₹32.22 m)	Low

Verification. Expenses sum to the printed totals in FY26 (4,260.29 - 515.61 + 256.01 + 117.60 + 40.11 + 692.88 = 4,851.28); PBT, tax and PAT reproduce; EBITDA in the KPI table reproduces (442.48 + 117.60 + 40.11 - 26.31 = 573.88); eligibility operating profit reproduces (533.77 / 429.41 / 135.94). FY26 cash flow movement is -430.08 - 302.97 + 732.93 = -0.12 as printed. EPS is ₹332.06 m over 54,729,240 shares = ₹6.07. No inconsistency in the document or in our extraction was found. Not tested: the investor presentation and the full CARE report. Figures were re-read against the DRHP text on this run; the issuer's own "adjusted" EBITDA (₹648.84 m) is not used.

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